



Joseph Sullivan

Security In An Online Marketplace

For at least a decade, individuals around the world have questioned opportunities offered by Internet to help foster commercial development. Based on our successful experience of millions, the answer to these questions is a resounding "Yes." With over 150 million registered users from more than 150 different countries (over a million users in India), eBay has enabled individuals and small businesses to offer their wares to e-commerce shoppers everywhere.

Online marketplaces allow craftspeople in small villages in remote corners of India to market their unique handcrafted goods over the Internet to Europeans and Americans seeking a taste of Indian culture. City dwellers in Mumbai can purchase jewellery, electronics, and even automobiles, at prices lower than what they would pay in other markets.

Are people actually willing to trust someone they have never met, is located somewhere far away, perhaps even on the other side of the globe? Could a business based on trust between remote buyers and sellers actually work? Evidently, yes!

Even so, many consider the world of electronic commerce to still be in its infancy, particularly when looking at the vast potential for growth of Internet access and its use around the world. In the same regard, the recipe for success related to secure electronic commerce in the ever-evolving Internet is still a work in progress, as businesses around the world explore new e-commerce models on an almost daily basis and fickle consumers vote on the success of these websites with their pocketbooks.

Studies show that the primary security related reasons for consumers not participating in electronic commerce include:

- ☐ Not receiving items purchased or receiving items that are substantially different than described (and having no recourse)
- ☐ Having their personal information sold to third parties
- ☐ Having their personal information stolen
- ☐ E-mail scams known as "phishing" or "spoofing" that result in messages being sent from disreputable sources but disguised as messages from trusted sources

To understand a bit about the success of electronic commerce, it may be helpful to ask: what is the key to success of eBay? How does eBay help people overcome the

perceived anonymity of the Internet to build enough confidence that buyers are willing to send money to sellers they have never met? From the perspective of an insider, the answer can be summed up in one word: Trust.

The first ingredient in a trusted marketplace is a community of users who act with integrity. In this regard, we have discovered and capitalised on something that we all know intuitively but that rarely gets reported in our morning newspapers or evening news programs—people are basically good! Just as 99.9 per cent of the people we choose to interact with in our daily lives are conscientious and moral; the overwhelming majority of users bring the best intentions to their e-commerce transactions on eBay.

Layering this trust with a world class security team of close to 1,000 people, we use statistical risk analytics to identify and remove suspicious users and inappropriate items. As credit card companies set a ceiling on spending based on user characteristics and flag suspicious transactions by location and price, eBay's security team can act behind the scenes to keep an eye out for everyone.

Add a little flavour with a philosophy of working closely with law enforcement. eBay takes the view that law enforcement agencies should be able to walk their beat on eBay the same way they patrol an offline shopping mall or a street corner. eBay has more than a dozen former law enforcement officials on staff and maintains strong partnerships with law enforcement from many countries to ensure that those responsible for misconduct are prosecuted to the fullest extent possible.

This is another example of converging real world concepts successfully with the virtual world. Doing this unobtrusively is just as important to maintain the sanctity of the online marketplace.

Topping this off is a financial protection program to reimburse users who do face a true problem. For example, one can provide free buyer protection for losses occurred at the buyer's end.

With this recipe, online marketplaces in the converged world can become a reflection of the people who use its platform. The success of eBay helps confirm our belief that people are basically good and willing to trade fairly and honestly with others.

It has also gone a long way in reinforcing the belief that converging the real and virtual worlds is possible. ■

The author, Joseph Sullivan, is Senior Director of Trust and Safety at eBay Inc. He recently spent three weeks in India